

## Home truths

There was a time, probably when too many nights of online shopping had scrambled my brain, when I would hear the words ‘RBA’ and mistake it for an offshoot of a certain medical drama starring love-struck nurses and a Dr McDreamy. In those days my friends and I would meet for an evening wine at a city bar in the financial district. The old tavern’s low ceiling amplified the squelch of Louboutin heels and Tod’s loafers on the beer-soaked carpet as staff from the big banks’ nearby headquarters gathered to toast the week’s end. Some cheeky singles I knew had nicknamed the haunt The Drycleaner’s because it was where flirty singles went to ‘pick up a suit’.

For most of my 20s, that was the extent of my exposure to anything banking-related. In those days, the closest I came to pondering long-term financial strategies was when a fashion magazine preached that designer camel trench coats, white silk shirts and Swiss precision watches were wardrobe investments. ‘Cost per wear’, they said, justified the expense.

Even in the first flush days of committed saving, I assumed that a ten per cent deposit was the be-all and end-all. Surely I didn’t need to understand anything else – once I had achieved that ten per cent, the bulk of the grunt work, discipline and financial know-how was over. When I hit that target, I would find the property, sign the contract, hand over a cheque and throw a boozy housewarming. Right?

I have since reframed my thinking and I encourage you, if you are cut from the same cloth, to do the same. The next time you see a story about the RBA – the Reserve Bank of Australia – try to read it. That institution is the engine room of all the markets that make our lives tick. The article you read will be thick with business phrases and bank-ese that won’t be instantly understandable to those of us whose 9-to-5 grind isn’t dictated by stocks and graphs, but that is where Step 3 becomes your quick guide.

Improving one’s financial literacy is not just the preserve of an intelligentsia in itchy brown cardigans, crunching streams of data through Coke-bottle spectacles. It’s an essential part of becoming an adult with your